LÖNELOTSARNA

Pay survey Guideline

The tool for pay survey includes the features required to conduct a pay survey in accordance with the Swedish Discrimination Act. It is a tool for comparing and analysing salaries in equal and equivalent jobs and for highlighting structural pay disparities.

By following the seven steps below, you can conduct a pay survey and analyse the results.

1. Analyse the wage setting system

Compile information concerning wage setting, such as collective agreements, wage policies, criteria for placement in pay groups, criteria for individual pay setting, bonus systems, and other benefits such as company cars, pension contributions, etc.

- Analyse what criteria are used for assessing individual skills and performance and check how they are applied.
- Assess whether the rules are gender-neutral and applied equally to both women and men. This review is essential for determining whether salary levels and pay differences can be objectively justified.

Begin the annual pay survey by evaluating the previous year's action plan, if there is one.

- Have the planned measures been implemented? Are there pay gaps that haven't been adjusted?
- How have salaries for women and men developed over the past year?
- Has the previous year's action plan for equal pay been adhered to?

2. Gather pay data

First, create a Salary file in Excel, with data from the payroll system. Below are the mandatory fields and how they should be named. The columns in your Salary file must have the same headings in row 1 as indicated in the example below.

There are two options: 1. Using year of birth or 2 using Swedish personal ID numbers.

1. Description of the Salary file and the first row of the file using year of birth

	A	B	C	D	E	F
1	**Year of birth**	**Sex**	**Name**	**Statistical code**	**Job**	**Full time salary**
2	1970	W	NN	1212	Finance manager	3050
3	2005	W	NN	2611	Lawyer	2830
4	1986	M	NN	2411	Accountant	2690
5	2001	W	NN	2423	HR specialist	2780
6	1999	M	NN	7411	Electrician	1960
7	1998	W	NN	4114	Sales Assistant	1820
8	1997	M	NN	3514	Computer Techn	1800

Year of birth, Sex, and **Full-time salary** are mandatory columns. You can choose between **Statistical Code** and **Job**, but you need to include at least one of them. When using job titles, make sure each job has the same spelling.

The Salary file must contain the exact text and in the same order as described above.

2. Description of the Salary file and the first row of the file using Swedish Personal ID numbers

	A	B	C	D	E	F
1	**Personnr**	**Namn**	**Grupp**	**Statistikkod**	**Befattning**	**Heltidslön**
13	8601207911	nnn		1252	xxxx	47355
14	7207219582	kkk		1252	yyyy	43750
15	8810073236	ll		8232	zzzz	25724
16	6301069202	lllmm		8232	vvvv	26619
28	7404119611	bbb		23234	osv	31533

- **Personnr (Personal ID)**: Enter the personal ID with 10 or 12 digits. YYMMDDXXXX or YYYYMMDDXXXX (Swedish personal ID). If individual identities should not be disclosed, you can simulate a personal ID. However, the second-to-last digit must indicate the individual's sex. An even number for women and an odd number for men. If you want a scatter plot diagram showing wages for women and men in the same job split by age, the birth year must be correctly placed in the personal ID. *Mandatory*.

- **Namn (Name)**: The name of the employees included in the pay survey. This can be anonymous, but the names can be useful in the analysis. *Not mandatory.*

- **Statistikkod (Statistical Code)**: The statistical code indicates which jobs are considered equal or the same. Both numbers and letters can be used, but upper- and lower-case letters cannot be mixed. You can enter both a statistical code and a job title, *but only one is mandatory to identify equal jobs*. A maximum of 28 characters can be used if both are included. If you do not use a statistical code, this column should not be included in the salary file.

- **Grupp (Group)**: A group consists of equivalent jobs. A prior assessment or job evaluation must be made. If you have done a job evaluation using the Lonelots software, you don't fill in data in the "Grupp" column. If you have done the job evaluation in a different way, enter a code that shows which jobs are equivalent. The code must be a letter or a number. This is a *mandatory* field required for the classification of equivalent jobs in the pay survey tool, if you have not used the Lonelots tool for job evaluation.

- **Befattning (Job)**: This is the clear job title of each person's job. A clear job title makes it easier to analyze pay differences in equivalent jobs. The position title should not be too long or contain special characters like: / ? &. You can enter both a statistical code and a job title, but only one is required to identify equivalent jobs. A maximum of 28 characters if both are used.

- **Heltidslön (Full-time salary)**: Enter each employee's monthly salary. For part-time employees, convert the salary to full-time, and for hourly wages, convert them to monthly salaries. To have the correct data for analyzing pay differences, the salary concepts must be comparable. *Mandatory*.

- **Prestationsmått (Performance measure)**: (Optional name). For each person, enter a measure or value of their individual performance. The performance measure must be an integer. If you do not create a specific column for performance, the program will use age as the basis for the scatter plot for equivalent jobs. This is *optional*.

The Salary file must contain the exact text and in the same order as described above.

3. Create Pay survey

Open the "Pay survey" menu. In the "Import from file" function, select your Salary file. Then choose the data you want to analyse: a Salary structure table, Scatter plot diagrams, and Structure diagrams for equivalent jobs.

The Salary structure table shows:

- The number of employees split by sex, and women and men together. Jobs with the same job title and/or statistical code are classified as equal.
- Average salaries split by sex, as well as women's salaries as a percentage of men's.
- Salary dispersion split by sex. Select the measure of salary dispersion: 10 percentiles, quartiles, or the highest and lowest values.

The Scatter plot function provides diagrams showing women's and men's salaries for each job. The vertical axis (y-axis) shows salaries, and the horizontal axis (x-axis) shows age or a chosen performance measure.

The Structure diagram function provides diagrams showing the organisation's salary structure for each group of equivalent jobs. There is also a box diagram showing the salary structure, and a scatter plot diagram showing salaries for all employees.

If you have conducted a job evaluation in Lonelots, link it to the pay survey by choosing "Use groups from current job evaluation" when importing the salary file. The "Group" column in your salary file should then be empty.

If you have created a job evaluation without using the Lonelots system, fill in which group each job belongs to in the Excel sheet and instead select "Use groups from Excel sheet" when importing the file.

The system generates an Excel file called "Pay Survey" YYYY-MM-DD" with the tables and diagrams you have chosen.

4. Analyse salaries in equal jobs

Use the "Equal work" table and the scatter plot diagrams to analyse salaries in equal jobs.

Pay differences should be explained by justified and objective reasons that are not related to the employee's sex.

Things to consider:

- The entire salary difference between women and men must be explained.
- The assessment criteria should be evident from policy documents, salary criteria, salary agreements etc.
- Is age/seniority a criterion for salary setting? If not, avoid explaining salary differences by referring to differences in age.
- What strategies exist to even out "historically" set wages?
- Information about wages in the external market, and if and how the "market" affects salary setting, considering if there is a labor shortage for certain jobs.

5. Analyse salaries in equivalent jobs

Use the "Equivalent work" table, "Salary structure" diagram and the diagrams for each group of equivalent jobs.

According to Swedish Discrimination Act, a comparison should be made between salaries in female-dominated jobs and salaries in other jobs within the same group of equivalent jobs. A job can be considered female-dominated if it has traditionally been performed by women or if more than 60 percent of the employees are women.

If there are female-dominated jobs with lower salaries than another job that has a higher salary and lower difficulty level, the analysis should also include an assessment of this salary difference.

6. Documentation

Employers with at least ten employees must document the pay survey. The tables and diagrams extracted from Lonelots form the basis of the documentation.

The documentation should include:

- A report on the results of the pay survey and analysis of wage differences,
- A report on the salary adjustments and other measures to address any wage differences that are directly or indirectly related to sex, along with a cost estimate and a timeline. The salary adjustments should be implemented as soon as possible and at the latest within three years.

7. Lonelots - Areas of use

Equal pay
The annual pay survey is a method for discovering, addressing, and preventing unjustified pay differences. If all employers comply with the law and carry out mappings and actions, the wage gap between women and men will decrease.

Criteria for Individual pay setting
A tailored job evaluation system is a good foundation for developing individual salary criteria. Factors in the job evaluation system can be defined as individual qualifications and provide a basis for assessing an individual's skills and performance, and thus also improve the quality in the annual salary conversations between managers and employees.

Organizational development
The analysis creates value in the organization by clarifying ambiguities in the work organization.

Basis for salary negotiations
This is the classic application of job evaluation. Salary agreements often state that salary setting should be individual and differentiated, and that salaries should be based on responsibility and difficulty of the work, as well as the ability to meet the requirements. The result of the pay survey is a given part of salary negotiations.

Attractive employer
Pay surveys reveal unconscious biases, thus providing opportunities for structured and sustainable wage policies. Being known for paying fair and equal wages gives opportunities to recruit and retain the best employees.